Committee met for the purpose of laying down the programme of work for the next year, that is 1923, Pandit Motilal Nehru stood up to make an announcement about the formation of the Swaraj-Party. The announcement came as an unexpected blow and cast a shadow on the jubilant faces of the Mahatma's supporters. Most of the outstanding intellectuals were on the side of the Deshabandhu and there was no doubt that without them, the Congress would lose much of its strength and importance. The announcement first made by Pandit Motilal Nehru was confirmed when Mr. Das in winding up the deliberations, submitted his resignation of the office of president, since he desired to work in opposition to the official resolutions with the object of persuading the country to accept his plan of work.

The supporters of Gandhiji left Gaya satisfied at their victory but not happy, because of the split that had taken place. The Swarajists parted with a sense of defeat, but with the determination to fight and win.